

EXAM 7 – SPRING 2012

11. (3.75 points)

Identify and explain five technical problems that make loss reserving for a reinsurer more difficult than loss reserving for a primary company.

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Question 11 Sample Answer

Solution 1

- 1) Reporting lags are greater for reinsurers. This can be due to many factors including:
 - Long pipeline through which claims data must travel to get from being reported to the cedent to being recorded by the reinsurer.
 - Claims may be undervalued and therefore remain below the claims reporting threshold for some time.
- 2) Claims reporting patterns differ by reinsurance line, type of contract, attachment point, etc.
 - Data is very heterogeneous making it difficult to use traditional reserving methods.
- 3) Industry statistics may not be useful
 - Schedule P does not have line broken down into categories that are homogeneous enough.
 - ISO statistics would need to be significantly revised for the specific reinsurance specifications in order to be used.
- 4) Reports received by reinsurers may be lacking important information (i.e. may have CY or UW data instead of AY).
- 5) Data coding and IT systems may not be able to keep up with the complex needs of reinsurers.

Solution 2

- 1) Report lags longer for the reinsurance than primary. This is because first has to be reported to primary and decide if reportable to reinsurer. Also, lag because of time to enter primary system then report to reinsurer and enter in their system.
- 2) Increasing emergence in reinsurance-combination of claim being reserved at modal value until more information or at minimum value. Also have economic/social inflation impact.
- 3) Reporting pattern varies for different types of reinsurance treaties and lines of insurance. Not consistency in reporting patterns so difficult reserve analysis in larger groups.
- 4) IT system deficiencies – because of delay in reporting and constant change in market the IT data systems for reinsurance always behind and need to be updated to capture necessary info.
- 5) Reinsurance requires more capital/surplus, more volatility and uncertainty in reinsurance plus regulatory requirements for capital.

Solution 3

- 1) Longer development pattern than primary insurer due to
 - Extended by cedant's reporting pipeline.
 - Cedant tend to under evaluate large claim.
 - Extreme delays in searching and reporting latent claims.
- 2) Consistent upward development, due to:
 - Inflation impact.
 - Cedant's tend to under evaluate ALAE.
 - Cedant reserve large claim at modal value when claims are initially reported.
- 3) Industry data is not helpful due to:
 - No breakdown of reinsurer's exposure in homogeneous group.
 - Severity of development increase with attachment point.
- 4) Missing claim information
 - Reinsurer's exposure is not completely measured in most recent year.
 - Miss detail claim information on excess loss level.
- 5) Claim development is extreme different due to:
 - Reinsurance contract is unique
 - Significant fluctuation during development because single large claims.

Solution 4

- 1) The claim reporting lag for reinsures is larger than for a primary reinsurer. Generally, the claim will not be reported to the reinsurer until the dollar amount reaches half the attachment point. The claim also has to go through a filter before entering the reinsurer's claim system.
 - Cedant's claim system
 - Cedant's reinsurance accounting dept.
 - Broker
 - Reinsurer books claim
 - Claim enters reporting system
- 2) There is persistent development trend upward for reinsurer loss data. This is due to inflation, tendency for cedant to book at modal value and tendency to underestimate ALAE.

- 3) Exposures are heterogeneous in the reinsurer loss data. Lines that have longer tails will be mixed with lines that have shorter tails. It is difficult to determine the expected loss and reporting pattern when they are combined.
- 4) There is a lack of important information available to the reinsurer on claims reported to them. Usually, the cedant only provides a summary of claims information. This lack of detail hampers the reinsurer from setting an accurate estimate of reserves for a claim.
- 5) Due to the heterogeneous exposures with different reporting patterns, reinsurers face data coding and IT reporting issues. The claims take a longer time to enter the reinsurer's claim reporting system as a result.

Examiner Comment

Partial credit was awarded for each *problem* as follows:

- for identifying the problem
- for explaining

No partial credit was given for any problem and/or explanations that were repeated. In order to receive full credit per problem, the candidate must list the problem and a corresponding reason. If problems and reasons were mismatched, partial credit was awarded where the mapping of reasons to problems could be identified.